

Meeting Summary — September 10, 2026

Participants: Isak Gutierrez, Thomas Abshier, Joelle Ater (joined ~9:03 AM) **Duration:** ~3.5 hours (7:18 AM – ~10:16 AM)

Key Decision: Don't Build Own DME — Use Existing Dealers

The group reversed course on becoming their own DME supplier. The math doesn't work yet:
- Own DME is California-only (not nationwide as previously assumed) - 9–12 months of paying rent + wages before first billable claim (\$45–60K sunk) - Facility must be fully operational before even applying (CMS eliminated grace period Jan 2026) - Break-even requires ~30 units/month sustained — current volume is zero - **Decision: sell through existing DME dealers (Rifton's model), apply for own DME later when volume justifies it**

Pricing Clarity

Wholesale to DMEs does NOT cap future billing. Trade prices to dealers are not “usual and customary” charges. Direct-to-consumer cash sales ARE what set the floor. So: - Wholesale freely to DME dealers at any price — no billing consequences - Sell to institutions and schools — no billing consequences - Be deliberate about direct-to-family pricing — that's the one that follows you

Working economics through other DMEs: - MSRP \$12,000 → Medicare pays 75% = \$9,000 → DME takes 30% = \$2,700 → Ideomotion gets \$6,300 → minus \$3,500 COGS = **\$2,800/unit profit** - At 15 units/month: \$42,000 revenue, minus \$16K payroll = ~\$26,000 net margin

Soft Goods — Critical Path Item

Susan (Mom) will sew ONE prototype set for photos/video/demo. Not production. - ~2 weeks for first set (liberal estimate — includes measuring, cutting, learning) - Bulk cutting would reduce per-set time significantly - She's willing but happy to hand off — “don't worry about offending me” - Sewing machine pedal needs professional repair (\$200ish)

Soft goods outsourcing plan: - Joelle searching locally (Idaho Facebook business groups, seamstress network) - Leonard's overseas contact may handle soft goods too — needs to be asked specifically - Joelle's backpack friend never responded — trying other routes - Need: materials list with sizes, photos of current soft goods, paper patterns from Charlie/Susan - Kangaroo leather question: is it scalable/affordable? What's the next-best material? - Color: black thread and belts only (colored thread shows defects)

Competitor Intel — Rifton's Model Confirmed

Rifton sells through 4 named DME dealers (Adaptive Mall, SpinLife, Rehabmart, Medical eShop) alongside internal direct sales. They do NOT own a DME supplier. They publish LMN templates and funding guides and let local dealers handle state-specific insurance machinery.

Key finding: Rifton reimburses at \$3,000–\$5,000. Biodex does NOT reimburse at \$12,900. Ideomotion at \$12,000–\$16,000 trying to reimburse is a combination neither competitor does.

Rifton uses caregiver injury argument inside medical necessity letters: “the device has the potential of saving future medical costs of caregivers injuring their backs during lifting and transfers.”

Steve Blank / Startup Owner's Manual

Thomas has been reading the book. Key tension identified: - The book says: find what sells before investing in infrastructure (lean startup) - What Ideomotion is doing: building infrastructure before proving sales (big company approach) - Thomas acknowledges this is the opposite of the book's advice, but on a much smaller scale (\$250K vs billions) - **Resolution:** hybrid approach — sell through existing DMEs (lean) while slowly building toward own DME (infrastructure)

Logo Approved

Joelle designed a logo in Canva — clean, simple, the O in “ideomotion” has a swirl suggesting motion. White on black version preferred. - Charlie approved via text (“likes it, reminds him of something Ben drew early on”) - Thomas: “very professional, serious, not whimsical” - Isak: “the circle says motion twice — from the word and from feeling it” - Keep On Truckin’ (R. Crumb) design reserved for stickers/accessories, not main branding - Next: vectorize the logo, consider trademarking - Joelle started CRM in Airtable and project hub in Notion

Flyer Patent Approved

Jim Duncan notified Charlie that the “Flyer” (a walker variant) patent has been approved. Another product for the pipeline.

DME Application — Final Position

Thomas considered applying just to hold a place in the queue (in case CMS freezes enrollment again), but ultimately decided against it: - It's California-only, not nationwide - \$10K in fees + \$60K/year in facility/staff costs before any revenue - The moratorium could return (government-created scarcity), but can't count on selling a DME enrollment for \$1M+ — that depends on the scarcity continuing - **Final call: don't apply now. Revisit when selling 30+ units/month sustained.**

Action Items

#	Item	Owner	Priority
1	Call Medi-Cal + other state insurers — what do they actually pay for walkers/lifts?	Isak	CRITICAL — stops the circular debate

#	Item	Owner	Priority
2	Visit Mom + Dad — collect soft goods patterns, photos, materials list, sizes	Isak	Today
3	Fix sewing machine pedal	Isak/Charlie	This week
4	Build soft goods spec file for Joelle (patterns, photos, materials, sizes)	Isak	After #2
5	Search locally for seamstress/soft goods manufacturer	Joelle	This week
6	Ask Leonard if overseas contact handles soft goods	Isak	This week
7	Call local DME suppliers — how does the process work?	Isak	This week
8	Financing company research — call shortlist	Joelle	This week
9	CRM (Airtable) — add DME vs therapist vs doctor tags	Joelle	Started
10	Notion project hub — meeting notes, to-dos per member	Joelle	Started
11	Vectorize logo	Joelle	This week
12	Get 3D manufacturing drawings from Leonard (not just quoting PDFs)	Isak	In progress
13	Check if Charlie has CAD drawings for soft goods	Isak	Today
14	Product liability insurance quotes	Isak	Still blocking
15	Run logo by Dad for final approval	Joelle	Done (approved)

Key Quotes

Thomas: “We’re not even close to having a company right now.”

Thomas: “The entire Steve Blank method is to spend hardly any money at all and get orders. Find out what actually sells. And we are blocked on that because we can’t sell anything.”

Isak: “Think about Mom and Dad as the prototype people, and think about everybody else as Victory Circle and seamstresses everywhere.”

Thomas: “We’re hog-tied. We’re by law required to do nothing until we can do the volume at a level we don’t even know if we can sell at yet.”

Isak: “It’s like the amount of fuel a rocket ship needs to take off versus the amount it needs to sustain.”

Thomas on the DME: “If we actually grow, our capital needs keep going up. We’re looking at some significant capital investment here.”